

money is be really smart in economics and understand fundamentally what is going on. I don't really believe that is true.

### **What do you believe is true?**

I actually subscribe to a lot of things in your books. You need a method that suits your personality. I don't believe that I am an amazing economist who predicts the future. What I actually believe is that I recognize the world as I find it and that I am flexible enough to change my mind. In April 2009, I was really pessimistic. I thought the world was in terrible condition. But the market was telling me that I was wrong. So I thought, "Okay, I'm completely wrong. What is a different hypothesis of what is going on? Ah, here is a different hypothesis. I see what's going on. Let's do that instead." Then there is an explanatory story that comes out afterwards. But actually, the story came after my previous hypothesis had been proven wrong. It wasn't that I was smart and caught the turning point. I didn't. I just noticed that what I was doing was wrong and that I needed to do something else. To construct a portfolio, I need to build a set of hypotheses that I can test in the market.

### **So the empiricism comes first, then the macro theme to fit the observations, and finally the implementation of the trades.**

Yes, but the point is that the macro theme has to be testable empirically in the market. It is not about starting out with any grand theme. The difference between what I'm doing and trend following is that there have to be logical fundamental linkages for the price movements. China is turning around, metal prices are turning higher, and the Australian dollar is moving up. What is that telling me? There is recovery somewhere in the world. There is demand somewhere in the world. The S&P may still be going down, but there is divergence in the data. If the whole world is terrible, it doesn't fit anymore. So I can't stick with the-whole-world-is-terrible thesis. Something else is going on. What hypothesis would fit the actual developments? Asia actually looks all right now. A scenario that would fit is an Asia-led economic recovery. If the new hypothesis is correct, then certain other things should happen in the future. In contrast to the trend follower, I am anticipating future trends, rather than waiting for the trends to develop and then jumping on. I may end up being in